
1.3 Unit content

1.3.1 Characteristics of successful entrepreneurs

This topic focuses on the people skills and personal qualities that entrepreneurs need to succeed. It also touches on why people set up businesses in the first place.

Content	What students need to know	Teacher guidance
Characteristics of entrepreneurs	Initiative, hard-working, resilient, creative, self-confident, take calculated risks.	Students should consider whether or not they have sufficient entrepreneurial skills to set up their own business and if not, how they could develop them.
What motivates entrepreneurs?	Significance of profit and non-profit motives, ethical stance.	Students should explore possible reasons why people set up businesses, for example desire to work independently or work from home. Some may start businesses for social purposes, for example an organic farm.
Leadership styles	Use of appropriate leadership style for situation or for dealing with employees: autocratic, paternalistic, democratic, McGregor's Theory X and Theory Y.	Students could reflect on their own preferred leadership style and which styles are better to use in certain situations.

1.3.2 Identifying a business opportunity

Students need to realise that identifying a new business opportunity is not enough in itself. They have to analyse factors which may affect demand and the interaction of demand and supply.

Content	What students need to know	Teacher guidance
What makes a market? What should firms supply?	The relationship between price and supply, factors affecting supply.	Students could explore the changes in the market and prices for mobile phones – from when mobile phones were first supplied to now. What do they conclude about the interaction between price and supply and demand?
Identifying what consumers want or need	Factors affecting demand. Interaction of supply and demand. Benefits of market orientation.	Students could try to identify a market need for a business idea of their own. Why do they think that there is potential demand for it?

1.3.3 Evaluating a business opportunity

Students could carry out limited primary and secondary research for several product or service ideas and position them against the nearest competitive offering. They could then analyse the possible trade-off of choosing one product or service idea against another.

Content	What students need to know	Teacher guidance
Researching demand for the business idea	Primary (quantitative and qualitative) and secondary research, used to quantify demand and gain insight into consumer behaviour, problems with sample size, sampling method used and potential bias.	Students could gain new business ideas from a website such as www.start-ups.co.uk . They could obtain secondary data on the local area where a new business may be set up by using the postcode of the school or college with www.upyourstreet.com or local population statistics from www.statistics.gov.uk . They may carry out their own survey using quantitative and qualitative questions to ascertain demand for several business ideas.
Is there a market for the business idea?	Market size, potential market growth, market segmentation analysis, identification of market niches.	Market summaries for different product or service areas can be found on www.keynote.co.uk . Students can see if the market for their product or service is growing. Using the respondent classification data from their questionnaires they may gain some segmentation information, for example gender, where they live.
Positioning the business idea	Strengths and weaknesses of existing suppliers, how they differentiate themselves, market mapping. Competitive advantage of product or service idea in context, adding value.	Students could identify the competition in the market and use a market map to position their business idea against it.
Product trial	Test marketing of a product to assess likely demand levels, consideration of how to turn product trial into repeat purchases.	Students could consider the benefits of trialling a product or service before it is launched.
Opportunity costs of developing one business idea as opposed to another	Trade-offs between opportunities, effects on stakeholders.	Looking at the results of their research, students could consider which business idea seems to have the most demand and the price(s) they could charge. What are the trade-offs of going with one particular business idea?

1.3.4 Economic considerations

Teachers should use real economic data to see the extent to which recent government economic decisions would impact on their new business idea. They could also look at the likely impact on a new or existing business of an increase in local unemployment.

Content	What students need to know	Teacher guidance
Current economic climate	Implications of government decisions for business, such as a change in interest rates, effect of government spending or taxation, consequences for business of unemployment and inflation, changes in exchange rate.	Using the latest economic data—students could analyse the effect of changes in interest rates on borrowing, exchange and inflation rates on cost of supplies, inflation rates on labour wages, any local unemployment on potential demand for the product or service.

1.3.5 Financing the new business idea

It is important to cover internal and external sources of finance, as existing businesses may use retained profit or sell assets to finance new product developments.

Content	What students need to know	Teacher guidance
Sources of finance	Internal sources: retained profit, sale of assets. External sources: loans, debentures, venture capital, ordinary share capital, overdrafts, leasing, trade credit.	Students could consider the total cost of a commercial loan and the loan repayment period from different financial providers. They could weigh this up against the benefit of gaining a personal loan from family or friends and any interference in the business that this may result in. Reasons for choosing different fund sources should be explored.
	Sources of finance appropriate for sole trader and company organisations, implications of limited or unlimited liability.	Students should match the appropriate form of finance against the organisation type. They should consider the implications of unlimited liability.

1.3.6 Measuring the potential success of a business idea

Students may have identified several products or services that they want to offer and therefore they are asked to calculate break-even revenue level and then evaluate whether or not this is achievable. Product or service case studies could be used instead of students using their real-life product or service ideas. At this point, students can evaluate whether or not their new business idea is viable.

Content	What students need to know	Teacher guidance
Estimation of sales levels, costs and profit	Identification of pricing strategy to be used, sales volume, fixed and variable costs to calculate potential profit.	Students may use their own pricing and cost information for their business idea gathered by research. Case study information could be used.
Break-even revenue level	Identification of the contribution from a potential range of products or services. Identification of break-even revenue. Assessment of whether the break-even revenue level is achievable. Desired margin of safety.	The point of calculating break-even level is to see whether or not it is achievable bearing in mind potential demand. Contribution = selling price(s) (derived from research) minus variable cost per unit. Break-even revenue = total fixed costs + total variable costs = total sales revenue at a given level of output.
Measurement of profit	Basic profit and loss, sales revenue less deductions to identify gross and operating profit), calculation and use of gross and operating profit margins.	Students should identify ways in which the profit level could be improved.

1.3.7 Putting a business idea into practice

If the decision is to proceed with developing the business idea, then the entrepreneur would prepare a business plan to gain financial support for it.

Content	What students need to know	Teacher guidance
Creation of a business plan	Purpose – to gain finance, its key features – product or service to be produced, marketing plan, production plan, premises and equipment needed, human resources involved in implementing the business idea, sources of finance, profit and loss statement, cash flow forecast.	Only a brief overview of this topic is necessary and it could be used to identify the topics already covered in Unit 1 and as an introduction to the main sections of Unit 2a. Students could be given a business plan to evaluate, no need for them to construct one.